SE (SE)

The Market’s Short-Term Panic Masks a Multi-Year Growth Engine

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> SE’s operational fundamentals have outpaced consensus expectations for several quarters, yet the market remains fixated on a near-term earnings miss that undervalues the company’s expanding addressable market and durable pricing power. We see a clear disconnect between the short-term earnings volatility and the long-run compounding trajectory driven by high-margin software subscriptions and a defensible platform moat. Our blended target of $160.00 implies a 95.3% upside from the current $81.92 spot price.

BUY	$160.00	+95.3%	$81.92
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is obsessively tracking SE’s latest quarterly beat-and-miss, while the real story unfolds over a decade-long runway of subscription-driven cash flow growth and strategic acquisitions that will compound earnings well beyond today’s price.

EXECUTIVE SUMMARY

SE operates a diversified technology platform that spans enterprise software, cloud infrastructure, and a growing suite of AI-enabled services. In fiscal 2025 the company generated roughly $3.2 billion of revenue, with the enterprise software segment contributing 55% and the cloud services segment 35%. The remaining 10% comes from emerging AI products that are still in early adoption but already showing double-digit growth rates. SE commands a leading market share in its core verticals, ranking in the top three for enterprise resource planning and in the top five for cloud-native development tools. The catalyst behind the recent multiple compression is a combination of an earnings miss that was largely driven by a one-off tax provision and a broader market rotation away from high-growth tech names. While peers have been punished on a earnings-per-share basis, SE’s free cash flow conversion has remained resilient, and its backlog now exceeds $5 billion, providing a clear runway for revenue acceleration. The market’s focus on short-term earnings volatility has created a pricing gap that we believe is unsustainable. Capital allocation remains disciplined. SE has returned $500 million to shareholders through share repurchases in the last twelve months, while earmarking $1.2 billion for strategic acquisitions and internal R&D over the next three years. The balance sheet is strong, with $2.3 billion of cash and a net debt-to-EBITDA ratio of 0.6x, giving the firm ample flexibility to invest in high-margin growth initiatives without compromising financial stability.

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OPERATIONAL SNAPSHOT

$81.92	$3.2B	$0.78B	24%	1.30	$81.92
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

SE’s platform architecture creates high switching costs because customers integrate core business processes across multiple modules that share a common data model. Once a firm embeds SE’s ERP, analytics, and cloud services into its daily operations, migration to a competitor entails not only software licensing fees but also extensive data migration, retraining, and potential disruption to critical business workflows. This friction translates into multi-year contracts that average 5.2 years in length, reinforcing revenue visibility. Regulatory barriers further protect SE’s market position. The company holds several industry-specific certifications that are required for government and highly regulated sectors such as healthcare and financial services. These certifications are costly to obtain and maintain, limiting the pool of viable competitors. SE’s compliance team has built a reusable framework that accelerates certification for new products, giving the firm a first-mover advantage in emerging regulated markets. Patents and proprietary AI algorithms underpin SE’s pricing power. The firm has filed over 150 patents in the last five years, most of which relate to data compression, predictive analytics, and autonomous workflow orchestration. These intellectual property assets enable SE to offer differentiated functionality that commands a premium price, evident in the 12% higher average contract value relative to the nearest peer. Customer retention is reinforced by a robust ecosystem of third-party developers and a marketplace that generates recurring revenue streams beyond the core license fees. The ecosystem contributes roughly 18% of total revenue and has grown at a compound annual growth rate (CAGR) of 14% over the past three years, indicating strong network effects that further entrench SE’s market position.

VALUATION

Three scenarios make the valuation range explicit

SE’s valuation hinges on revenue compounding, margin expansion, and a terminal growth assumption that reflects the maturity of its platform. In the baseline case we assume a 12% revenue CAGR through 2035, a gradual lift of free cash flow margin from 24% to 27% as high-margin AI services scale, and a terminal growth rate of 3.0% that mirrors long-run GDP growth. The bear case assumes a slower 8% CAGR and a modest margin lift to 20% due to competitive pricing pressure, while the bull case projects a 16% CAGR and a 30% terminal margin as AI-driven subscriptions dominate the revenue mix.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE

Bear	25%	8%	20%	$100.00	+22.1%
Base	50%	12%	27%	$155.00	+89.2%
Bull	25%	16%	30%	$230.00	+180.8%

Bear $100.00

In the bear scenario a prolonged macro slowdown curtails enterprise IT spend, while a regulatory inquiry forces SE to delay the rollout of its next-gen AI suite. Margin compression follows as the company leans on lower-margin services to sustain growth.

Base $155.00

The base case reflects steady adoption of SE's AI-enhanced modules, a disciplined acquisition pipeline that adds $1.5 billion of incremental revenue, and margin improvement driven by scale efficiencies in the cloud segment.

Bull $230.00

The bull outcome materializes if SE's flagship AI platform captures a dominant share of the $30 billion enterprise AI market, while strategic acquisitions integrate complementary data-analytics capabilities that accelerate cross-selling.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital is derived from a CAPM framework that incorporates a risk-free rate of 4.0%, an equity risk premium of 6.0% and SE's equity beta of 1.30. This yields a WACC of 10.00% as of 2026-10-20, reflecting the market's pricing of SE's systematic risk. The live discount rate adjusts each period as the beta decays toward a mature peer benchmark, ensuring that the valuation remains sensitive to the firm's evolving risk profile. The 10.00% discount rate also captures the premium investors demand for exposure to high-growth technology, while recognizing SE's strong balance sheet and cash-flow generation that mitigate downside risk. By using a dynamic WACC we avoid the distortion that a static hurdle would introduce, especially in a sector where beta can shift materially as the firm matures.

FCF margin normalization is the engine

Margin trajectories are anchored in SE's historical conversion of revenue to free cash flow, which has averaged 24% over the last three years. In the base scenario we model a gradual lift to 27% as the AI and cloud segments, which carry higher gross margins, scale faster than the legacy ERP business. The bear scenario assumes a temporary dip to 20% as the company invests heavily in compliance and pricing concessions, while the bull scenario projects a 30%

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**10.00% (2026-10-20)**
Terminal growth	**3.0%**
Equity beta	**1.30**
Diluted shares	**200M**

BUY

over $160.00 blended target

margin as subscription revenue eclipses on-premise licensing. These margin assumptions are reinforced by SE's disciplined CapEx plan, which targets a 4% of revenue spend on infrastructure upgrades, and a modest increase in working capital requirements as subscription receivables rise. The resulting free cash flow stream provides a robust foundation for the DCF valuation.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on AI-enabled subscriptions and cross-sell synergies

BUY

The enterprise software segment remains the cash-cow, delivering $1.76 billion of revenue in FY2025 and growing at a 9% CAGR. Within this segment, the newly launched AI-augmented ERP module has already secured contracts worth $420 million, representing a 22% year-over-year increase. Cloud services contributed $1.12 billion, expanding at 14% as customers migrate workloads to SE's proprietary hyperscale infrastructure, which offers lower latency and integrated security features. The AI platform, launched in Q2 2025, now accounts for 12% of total revenue and is projected to reach 25% by 2030 as more verticals adopt predictive analytics. Strategic acquisitions of two niche data-visualization firms in 2024 and 2025 have added $150 million of incremental revenue and expanded the addressable market for bundled solutions. The combined effect of organic subscription growth and acquisition-driven cross-selling is expected to lift overall revenue CAGR to 12% in the base case.

What to monitor

- **Subscription renewal rates** A dip below 92% could signal churn risk and pressure pricing power.
- **Acquisition integration progress** Successful integration of recent deals will be reflected in incremental revenue and margin uplift.
- **AI adoption velocity** Faster than expected uptake of the AI platform would accelerate margin expansion.
- **Regulatory developments** New data-privacy regulations could increase compliance costs and affect rollout timelines.

92%	$0.78B	24%	5.2	1.30	200M
SUBSCRIPTION RENEWAL	FREE CASH FLOW	FCF MARGIN	AVG CONTRACT YEARS	EQUITY BETA	DILUTED SHARES

METRIC	FY2025
Revenue	$3.2B
Gross Profit	$1.68B
EBIT	$720M
Net Income	$460M
Free Cash Flow	$780M
R&D	$320M
ROE	18%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

A prolonged slowdown in enterprise IT budgets could force customers to defer upgrades, eroding SE's share in the high-margin subscription space.

M&A DIGESTION

Integration challenges from recent acquisitions could dilute margins and distract management from core growth initiatives.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny over data-privacy practices could lead to fines and compel SE to redesign its platform, increasing costs.

TECHNOLOGY DISRUPTION

Emergence of open-source AI frameworks could reduce the perceived value of SE's proprietary offerings.

REINVESTMENT TREADMILL

Escalating CapEx to maintain hyperscale infrastructure may outpace cash generation, pressuring free cash flow.

WACC AND DURATION SENSITIVITY

Rising interest rates could lift the discount rate, compressing the present value of long-term cash flows.

The strengths

OLIGOPOLY POSITION

SE's entrenched presence in three core verticals creates a de-facto oligopoly, limiting viable competition and protecting pricing power.

FCF COMPOUNDING

Consistently high free cash flow conversion enables aggressive share repurchases and strategic reinvestment without diluting shareholders.

GEOGRAPHIC DURABILITY

Strong footholds in North America, Europe and APAC insulate SE from regional economic shocks and provide diversified revenue streams.

PIPELINE OPTIONALITY

The AI platform, cloud expansion, and a pipeline of bolt-on acquisitions give SE multiple levers to accelerate growth.

Compelling risk-reward, skewed to the upside

SE's blend of a deep, defensible moat, a disciplined capital allocation framework, and a clear pathway to margin expansion creates a valuation profile that is heavily weighted toward upside. Even under a conservative bear scenario the stock trades at a modest premium to intrinsic value, while the base and bull cases deliver outsized returns that justify a strong conviction. Accordingly we maintain a BUY recommendation with a blended target of $160.00, representing a 95.3% upside from the current $81.92 price.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

AI-Enabled ERP: repriced on normalization

The AI-enabled ERP suite launched in early 2025 was initially priced at a premium that reflected the novelty of embedded predictive analytics. Early adopters reported implementation challenges that led to a temporary discounting of contracts, which in turn depressed the segment's revenue growth in FY2025. Since then, SE has refined the user interface, streamlined integration APIs, and introduced a consumption-based pricing model that aligns costs with realized value. Normalization of pricing is now evident as the average contract value has risen 8% quarter-over-quarter, and the renewal rate for AI-enabled contracts has stabilized above 94%. The shift from a fixed-fee to a usage-based model also improves the scalability of the revenue stream, allowing SE to capture upside as customers expand their AI workloads.

Why the growth numbers disappointed

- Implementation timelines were longer than projected, causing delayed revenue recognition.
- Early pricing discounts eroded gross margins in the first two quarters after launch.
- Customers hesitated to commit to multi-year contracts pending proof of AI ROI.
- Competitive pressure from open-source AI tools forced SE to adjust its go-to-market strategy.

Our read: Normalization / Consolidation, not share loss / thesis break. SE is transitioning from an early-adoption phase with pricing volatility to a mature subscription model that delivers recurring, high-margin

cash flow. The market's focus on short-term earnings miss overlooks the structural tailwinds that will drive multi-year compounding, supporting our BUY stance and $160.00 target.

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